GenEd 1079 - Section 8

Health insurance

Agenda for Section 8

- **Review of key health insurance terms**
- Explore Harvard's open enrollment guide (~30min)
- Calculate costs & choose a plan for Lindsey (~15min)

Unit Assignment 3 Announcement!

- If you would like to request your own group for UA3, you are welcome to submit a group request to your TF by end of seminar on Thursday (11/5/26; 1:15 PM EST)
- Groups must be composed of students within your own section.
- Groups require approval by the TF and are subject to change.

Health insurance terms

- **Premium**: the monthly cost of your health insurance plan.
- **Deductible**: you pay everything out of pocket until you reach this amount.
- **Coinsurance**: the percentage of the total cost that is paid out-of-pocket.
- **Copay**: fixed amount (contrasted with coinsurance, which is a % of a total) paid for certain services.
- **Out of pocket limit/maximum**: the maximum amount you pay out-of-pocket, the plan pays all cost after this amount.
- **Network**: a group of health care providers.
  - **In-network**: a group of providers for which insurer has negotiated cheaper care.
  - **Out-of-network**: all other providers (no agreement for cheaper care)

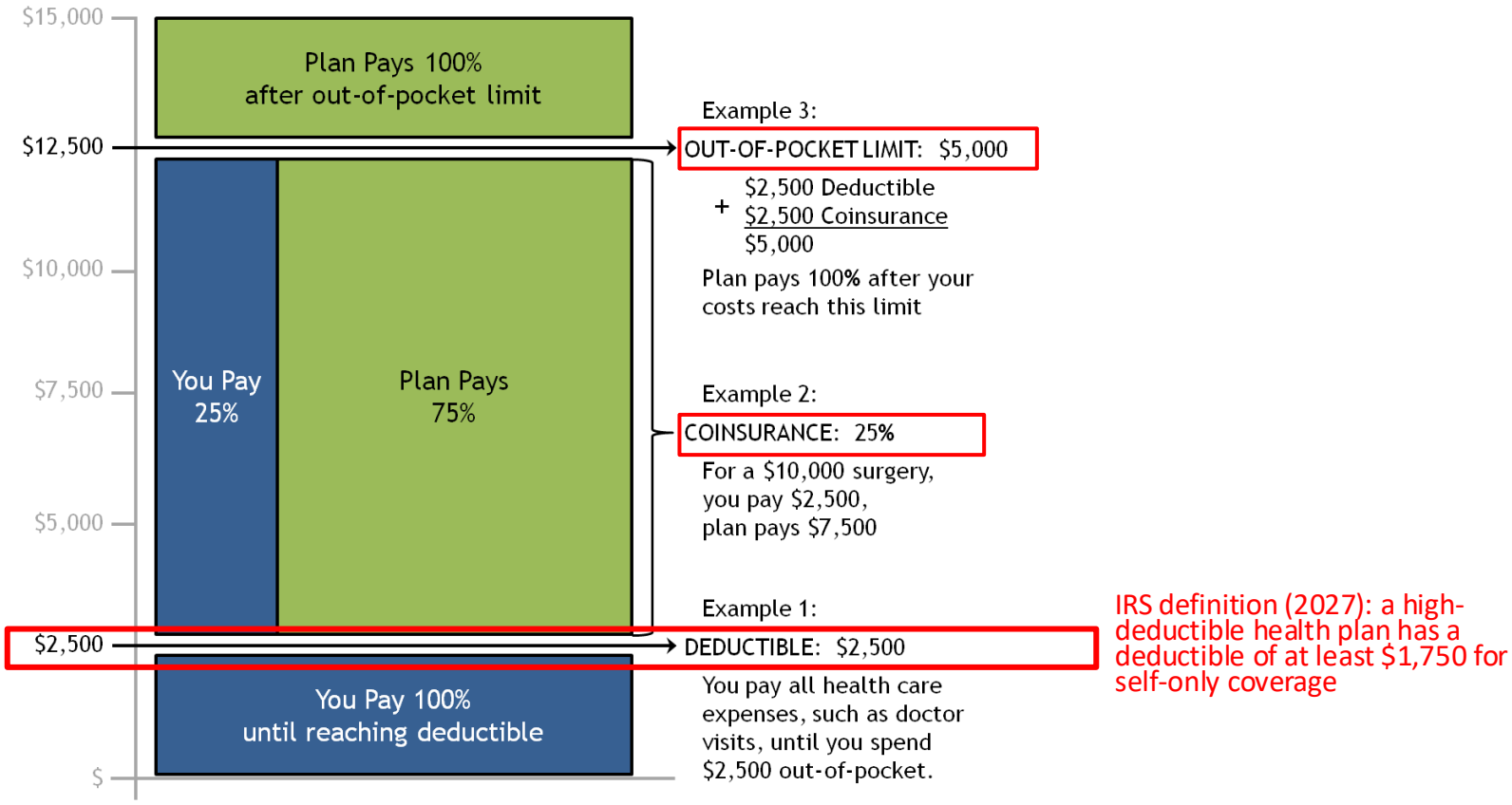
Cost-Sharing Illustration

Green is what the plan pays

Blue is what you pay

Key Terms

- Deductible
- Coinsurance
- Out of pocket limit



IRS definition (2027): a high-deductible health plan has a deductible of at least $1,750 for self-only coverage

Agenda for section 8

- Review of key health insurance terms
- **Explore Harvard's open enrollment guide (~30min)**
- Calculate costs & choose a plan for Lindsey (~15min)

What is open enrollment?



Faculty & Nonunion Staff

HARVARD
Human Resources

Health Maintenance Organization (HMOs), Point of Service (POS), High Deductible Health Plans (HDHPs)

Key Terms:

- Blue Cross Blue Shield of Massachusetts (BCBSMA)
- Harvard University Group Health Plan (HUGHP)
- Health Maintenance Organization (HMO)
- Point-of-Service (POS)
- High Deductible Health Plan (HDHP)

MEDICAL AND PRESCRIPTION DRUG

Harvard offers plans through two plan administrators, HUGHP and BCBSMA. You can learn more about the HUGHP and BCBSMA provider networks and which might best meet your needs at **hr.harvard.edu/medical**. Please note: If you enroll in a HUGHP plan, you'll need to choose a primary care physician (PCP) within the Harvard University Health Services or Atrius Health provider network, which are primarily located in the Greater Boston/Eastern Massachusetts area.

Medical plans	BCBSMA	HUGHP
Health Maintenance Organization (HMO)—With an HMO, you select a PCP, who coordinates your care and can provide you with referrals to in-network specialists. Out-of-network care is not covered except in certain emergency situations.	✓	✓*
Point-of-Service (POS)—As with an HMO, you designate a PCP. However, you have the flexibility to use out-of-network providers with higher out-of-pocket costs.	✓	✓
POS Plus—Offering the same benefits as a traditional POS, the POS Plus plan has higher premiums and a higher out-of-pocket maximum in exchange for no deductible or coinsurance for in-network services.	✓	✓
High Deductible Health Plan (HDHP)—Featuring lower premiums and higher deductibles than a traditional health plan, the HDHP is offered in conjunction with an HSA. For more information see page 6. This plan does not meet the minimum medical coverage requirements for those holding J-1 visas.	✓	
Preferred Provider Organization (PPO)—This plan, offered through BCBSMA, is available only to employees who reside outside New England. With this plan, you can go to any health care professional you choose, in or out of the network, without a PCP referral. You will have higher out-of-pocket costs for out-of-network care.	✓	
PPO Plus—This plan, offered through BCBSMA, is available only to employees who reside outside New England. It offers the same benefits as a traditional PPO but has higher premiums and a higher out-of-pocket maximum in exchange for no deductible or coinsurance for in-network services.	✓	

Premiums: Tier 1 & 2

- What are the different tiers?
- How do premiums differ for the HMO, POS, and HDHP?
- Why is this?

TIERED RATES

Harvard offers four salary tiers for medical premiums based on your full-time equivalent (FTE) salary. If you work part-time, your salary tier and premiums are based on your FTE salary.

MONTHLY COST BY SALARY TIER	TIER 1 LESS THAN $60,000				TIER 2 $60,000–$79,999			
	EMPLOYEE	EMPLOYEE + SPOUSE/DP	EMPLOYEE + CHILD(REN)	FAMILY	EMPLOYEE	EMPLOYEE + SPOUSE/DP	EMPLOYEE + CHILD(REN)	FAMILY
HMO								
HUGHP*	$89	$229	$222	$247	$103	$266	$257	$286
BCBSMA	$110	$284	$275	$305	$124	$321	$310	$344
POS								
HUGHP**	$129	$329	$319	$356	$143	$366	$354	$395
BCBSMA	$150	$384	$372	$414	$164	$421	$407	$453
POS Plus								
HUGHP**	$144	$370	$358	$400	$158	$407	$393	$439
BCBSMA	$166	$424	$410	$458	$180	$461	$445	$497
HDHP								
BCBSMA	$50	$132	$128	$143	$64	$169	$163	$182
PPO (Available only to employees who reside outside New England)								
BCBSMA	$150	$384	$372	$414	$164	$421	$407	$453
PPO Plus (Available only to employees who reside outside New England)								
BCBSMA	$166	$424	$410	$458	$180	$461	$445	$497

Premiums: Tier 3 & 4

- What are the different tiers?
- How do premiums differ for the HMO, POS, and HDHP?
- Why is this?

MONTHLY COST BY SALARY TIER	TIER 3 $80,000–$99,999				TIER 4 $100,000 AND ABOVE			
	EMPLOYEE	EMPLOYEE + SPOUSE/DP	EMPLOYEE + CHILD(REN)	FAMILY	EMPLOYEE	EMPLOYEE + SPOUSE/DP	EMPLOYEE + CHILD(REN)	FAMILY
HMO								
HUGHP*	$158	$407	$394	$438	$203	$521	$504	$561
BCBSMA	$179	$462	$447	$496	$224	$576	$557	$619
POS								
HUGHP**	$198	$507	$491	$547	$243	$621	$601	$670
BCBSMA	$219	$562	$544	$605	$264	$676	$654	$728
POS Plus								
HUGHP**	$213	$548	$530	$591	$258	$662	$640	$714
BCBSMA	$235	$602	$582	$649	$280	$716	$692	$772
HDHP								
BCBSMA	$119	$310	$300	$334	$164	$424	$410	$457
PPO (Available only to employees who reside outside New England)								
BCBSMA	$219	$562	$544	$605	$264	$676	$654	$728
PPO Plus (Available only to employees who reside outside New England)								
BCBSMA	$235	$602	$582	$649	$280	$716	$692	$772

* HUGHP HMO is available only to employees who reside in Massachusetts.
** Though you can live anywhere, in-network providers are located primarily in eastern Massachusetts.

Cost Sharing Details: In Network

Key Terms:

- Deductible
- Out of Pocket (OOP) Max
- Copay
- Coinsurance
- Deductible then X% Coinsurance
- Inpatient vs Outpatient

COMPARE YOUR MEDICAL PLANS

IN-NETWORK	HMO	POS PPO*	POS PLUS PPO PLUS*	HDHP**
DEDUCTIBLE				
Individual	$250	$250	None	$1,500
Family Maximum	$750	$750	None	$3,000***
OUT-OF-POCKET MAXIMUM				
Per Individual	$1,500	$1,500	$2,000	$3,000
Family Maximum	$4,500	$4,500	$6,000	$6,000***
MEMBER COSTS				
Inpatient Hospital	Deductible, then 10% coinsurance	Deductible, then 10% coinsurance	Covered in full	Deductible, then 15% coinsurance
Emergency Room	$100 copayment	$100 copayment	$100 copayment	Deductible, then 15% coinsurance
Preventive Care as Defined by Affordable Care Act	Covered in full	Covered in full	Covered in full	Covered in full
Office Visits—PCP and Specialist	$30 copayment	$30 copayment	$30 copayment	Deductible, then 15% coinsurance
Physical/Occupational Therapy (limited to 100 visits per calendar year)	$30 copayment	$30 copayment	$30 copayment	Deductible, then 15% coinsurance
Chiropractic Care (limited to 18 visits per calendar year)	$30 copayment	$30 copayment	$30 copayment	Deductible, then 15% coinsurance
Acupuncture (limited to 20 visits per calendar year)	$30 copayment	$30 copayment	$30 copayment	Deductible, then 15% coinsurance
High-Tech Imaging (e.g., MRI, PET scan, CT scan)	Deductible, then 10% coinsurance	Deductible, then 10% coinsurance	Covered in full	Deductible, then 15% coinsurance
Mental Health/ Substance Abuse	Inpatient: Deductible, then 10% coinsurance Outpatient: $30 copayment	Inpatient: Deductible, then 10% coinsurance Outpatient: $30 copayment	Inpatient: Covered in full Outpatient: $30 copayment	Deductible, then 15% coinsurance
Outpatient Diagnostic Labs/X-rays	Covered in full	Covered in full	Covered in full	Deductible, then 15% coinsurance

* Available through BCBSMA only for employees who reside outside New England.

** Under the HDHP, amounts paid for both in-network and out-of-network care can be combined to satisfy the deductible.

*** Unlike with the HMO and POS plans, if you enroll in HDHP family coverage, you must meet the full family deductible before coinsurance begins for any individual and the full family out-of-pocket maximum before the plan covers costs, including prescription drugs, in full for any individual.

Cost Sharing Details: Out of Network

Key Terms:

- Deductible (separate from in network!)
- Out-of-Pocket Maximum (separate from in network!)

COMPARE YOUR MEDICAL PLANS

OUT-OF-NETWORK	POS PPO*	POS PLUS PPO PLUS*	HDHP**
DEDUCTIBLE			
Individual	$750	$750	$1,500
Family Maximum	$2,500	$2,500	$3,000***
OUT-OF-POCKET MAXIMUM			
Per Individual	$2,500	$2,500	$6,000
Family Maximum	$7,500	$7,500	$12,000***
MEMBER COSTS			
Office Visits and Hospital Services	30% after out-of-network deductible	30% after out-of-network deductible	35% after out-of-network deductible
Mental Health	Inpatient: Deductible, then 30% coinsurance Outpatient: 20% coinsurance, no deductible	Inpatient: Deductible, then 30% coinsurance Outpatient: 20% coinsurance, no deductible	Deductible, then 35% coinsurance

* Available through BCBSMA only for employees who reside outside New England.

** Under the HDHP, amounts paid for both in-network and out-of-network care can be combined to satisfy the deductible.

*** Unlike with the HMO and POS plans, if you enroll in HDHP family coverage, you must meet the full family deductible before coinsurance begins for any individual and the full family out-of-pocket maximum before the plan covers costs, including prescription drugs, in full for any individual.

Cost Sharing Details: Prescription Drugs

Key Terms:

- Generic
- Preferred Brand
- Non-Preferred Brand
- Mail order

PRESCRIPTION DRUG COSTS*

	Preventive Medications List		All Other Drugs	
	Retail at Participating Pharmacy (up to 30-day supply)	Mail Order through Express Scripts (up to 90-day supply)	Retail at Participating Pharmacy (up to 30-day supply)	Mail Order through Express Scripts (up to 90-day supply)
Generic	$0	$0	$7	$14
Preferred Brand	$10	$25	$20	$50
Non-Preferred Brand	N/A	N/A	$45	$110

* Unlike with the other plans, if you enroll in HDHP coverage, you must meet the deductible before these prescription copayments apply. If you have HDHP family coverage, you must meet the full family deductible before these prescription drug copayment costs apply. You do not need to satisfy the deductible to receive the drugs on the preventive medications list at the copays listed above. Per IRS guidelines, only drugs on preventive medication lists may bypass the deductible.

Agenda for section 8

- Review of key health insurance terms
- Explore Harvard's open enrollment guide (~30min)
- **Calculate costs & choose a plan for Lindsey (~15min)**

Each small group will have a vignette describing one Harvard employee

1. Calculate previous year's medical spending (both premiums and OOP costs)
2. Discuss what plan you would select for your employee in the upcoming year using the Harvard open enrollment guide

Employee: Lindsey

Lindsey is a 29-year-old woman who lives in Somerville. Her annual salary is $53,000. She is enrolled in the HMO-HUGHP/POS (HUGHP)/HDHP plan. Last year, she required treatment for her long-standing pollen allergy. She also helped a friend move during the summer and shortly afterwards began to experience some intense back pain. Her primary care physician sent her to a specialist, who recommended an MRI. She was diagnosed with a herniated disk, which was treated with a generic painkiller and 10 physical therapy visits.

- Pollen Allergy:
  - Prescription Drugs, Retail, Generic, 30-day supply (with no insurance: $35)

- Herniated Disk:
  - PCP Office Visit (with no insurance: $170)
  - Specialist Office Visit (with no insurance: $320)
  - MRI (with no insurance: $1400)
  - Prescription Drugs, Retail, Generic, 14-day supply (with no insurance: $50)
  - 10 Physical Therapy Visits (with no insurance: $75 each)

Questions:

- Calculate the amount Lindsey spends on her premium, out-of-pocket costs, and her total spending.
- Which plan should Lindsey pick for next year if she is expected to have the same care then as she had this year?

Lindsey's spending under the HUGHP-HMO plan

Pollen Allergy:

- Prescription Drugs, Retail, Generic, 30-day supply (with no insurance: $35) = $7

Herniated Disk:

- PCP Office Visit (with no insurance: $170) = $30
- Specialist Office Visit (with no insurance: $320) = $30
- MRI (with no insurance: $1400) = $250+0.1*$1,150 = $365
- Prescription Drugs, Retail, Generic, 14-day supply (with no insurance: $50) = $7
- 10 Physical Therapy Visits (with no insurance: $75 each) = 10*$30 = $300

Premiums = 12*$89 = $1,068

Cost-Sharing/Out-Of-Pocket = $7 + $30 + $30 + $365 + $7 + $300 = $739

Total = $1,068 + $739 = $1,807

Lindsey's spending under the HUGHP-POS plan

Pollen Allergy:

- Prescription Drugs, Retail, Generic, 30-day supply (with no insurance: $35) = $7

Herniated Disk:

- PCP Office Visit (with no insurance: $170) = $30
- Specialist Office Visit (with no insurance: $320) = $30
- MRI (with no insurance: $1400) = $250+0.1*$1,150 = $365
- Prescription Drugs, Retail, Generic, 14-day supply (with no insurance: $50) = $7
- 10 Physical Therapy Visits (with no insurance: $75 each) = 10*$30 = $300

Premiums = 12*$129 = $1,548

Cost-Sharing/Out-Of-Pocket = $7 + $30 + $30 + $365 + $7 + $300 = $739

Total = $1,548 + $739 = $2,287

Lindsey's spending under the HDHP plan

Pollen Allergy:

- Prescription Drugs, Retail, Generic, 30-day supply (with no insurance: $35) = $35

Herniated Disk:

- PCP Office Visit (with no insurance: $170) = $170
- Specialist Office Visit (with no insurance: $320) = $320
- MRI (with no insurance: $1400) = $975+0.15*$425 = $1,038.75
- Prescription Drugs, Retail, Generic, 14-day supply (with no insurance: $50) = $7
- 10 Physical Therapy Visits (with no insurance: $75 each) = 10*$75*0.15 = $112.5

Premiums = 12*$50 = $600

Cost-Sharing/Out-Of-Pocket = $35 + $170 + $320 + $1,039 + $7 + $113 = $1,684

Total = $1,684 + $600 = $2,284

Lindsey's spending under 4 different insurance plans

		Insurance plan		
	Uninsured	**HMO (HUGHP)**	**POS (HUGHP)**	**HDHP**
Premium (Tier 1)	$0	$1,068	$1,548	$600
Generic RX Drugs (Allergy)	$35	$7	$7	$35
PCP visit	$170	$30	$30	$170
Specialist visit	$320	$30	$30	$320
MRI	$1,400	$365	$365	$1039
Generic RX Drugs (Herniated Disk)	$50	$7	$7	$7
Physical therapy	$750	$300	$300	$113
Total Out of Pocket Spending	$2,725	$739	$739	$1,684
Total spending	**$2,725**	**$1,807**	**$2,287**	**$2,284**

Factors to consider when choosing health insurance

- Expected value (how much one pays under each plan given current health status or spending)
  - Would calculate medical spending based on things you knew were likely to happen (e.g., allergies, diabetes care, etc.)
- Uncertainty (how much risk one is willing to bear in each health insurance plan).
  - Can not predict all medical care needs (e.g., cold and sinus infection, herniated disk, etc.)
  - The plan where you end up spending more compared to other plans may still be optimal, depending on how much protection against risk the plan provides.

Reminders

- Problem Set 3 due Monday 11/9 at 5 pm
- Unit Assignment 3 due Tuesday 11/24 at 5 pm
- No section the week of Thanksgiving!
- Reach out if you have questions about the problem set, Unit Assignment 3, or the final exam